INTEGRATED RISK MANAGEMENT REPORT

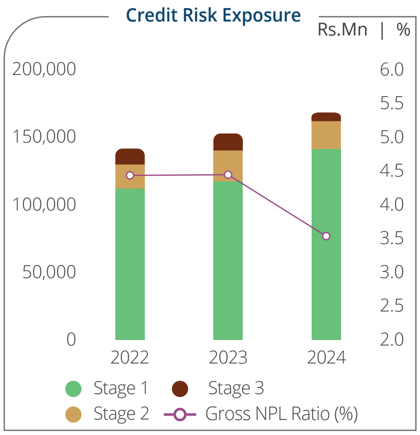
RISK MANAGEMENT HIGHLIGHTS

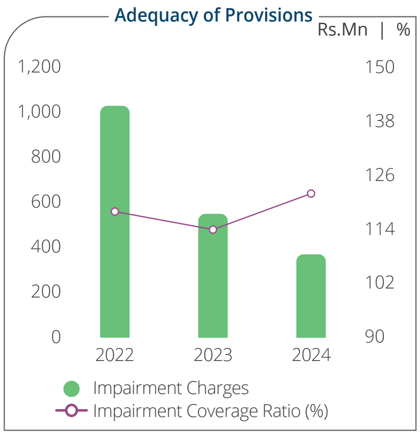
As a leading player in Sri Lanka's Non-Bank Financial Institutions sector, risk management is an integral part of our business model, maintaining a careful balance between profitability, growth aspirations and financial stability. This report provides an overview of how the Board discharges its duty to manage risks effectively.

RISK PROFILE & HIGHLIGHTS

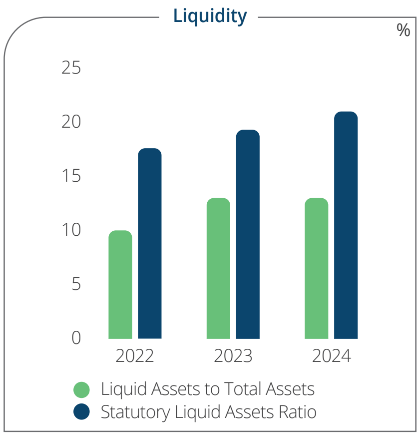
Asset Quality

Credit risk is the largest exposure for LBF and significant resources are allocated to manage this key risk. Elevated credit risk was carefully managed to reduce the same with success. As a result, LBF has the lowest Non-Performing loan ratio in the LFC sector with adequate provision coverage



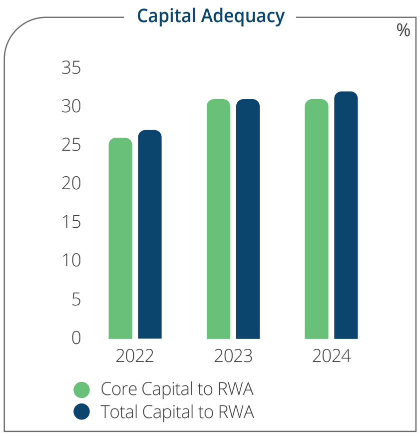


Liquidity & Capital Management



Liquidity and capital adequacy are key to financial stability of LBF and is carefully monitored to uphold the trust and confidence of our stakeholders. Relevant regulatory ratios are well above the minimum regulatory requirement, reflecting prudent management

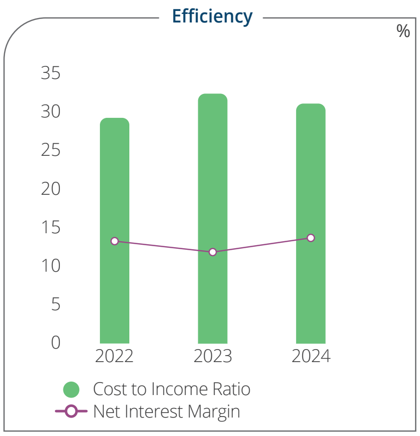
LBF's capital adequacy ratios stand well above the LFC average, reflecting it's robust risk absorption capacity



Earnings

Effective management of market risk variables and the Company's cost profile is reflected in the earnings ratios and efficiency ratios

Amidst the significant decrease in interest rates, LBF has managed to enhance its Net Interest Margin through effective risk management strategies



Key Improvements in 2023/24

- Established second line of defence for Information Technology and Security risk management
- Established the IT risk register and continued to monitor the status of action plans to mitigate the risks
- Compiled the first Internal Capital Adequacy Assessment Process (ICAAP) Report of LBF and submitted for the review of the Regulator
- Performed a comprehensive review of KRIs for appropriateness
- Introduced new risk appetite limits to better manage the emerging risks and opportunities
- Strengthened the Risk and Control Self-Assessment (RCSA) process for fraud risk
- Established an automated exception monitoring process
- Enhanced the regular risk reporting process to BIRMC and Board
- Continued to maintain the risk register and monitored the action plans to address identified risks effectively
- Adopted a new methodology for branch operational risk assessment covering all operational risk types under Basel classification
- Strengthened the stress testing process by increasing the frequencies and reviewing related scenarios and assumptions to reflect the changes in the operating environment
- Continued to review and update risk management policies and frameworks
- Facilitated BIRMC to assess the effectiveness of management committees
- Conducted Money Laundering and Terrorist Financing (ML & TF) risk assessment for the overall company, customers, products and processes adopting enhancements to the scoring methodology
- Constituted a new Board sub committee to oversee the sustainability risk management

Priorities for 2024/25

- Strengthen asset quality through enhanced credit underwriting practices by leveraging on insights gained at more frequent portfolio reviews
- Establish a model risk governance framework
- Contribute towards the Company's profitability objectives by providing information on risk adjusted returns; facilitating for informed decision making
- Further strengthen and expand the exception monitoring process
- Further explore innovative options to minimise the gap between rate sensitive assets and rate sensitive liabilities
- Further strengthen information security risk management
- Enhance focus on digital products promoting sustainability risk management
- Manage product concentration
- Sharpen the attention on addressing sustainability risks and capitalising on opportunities

RISKS MANAGEMENT REVIEW

RISK LANDSCAPE

Managing risk was a key priority as the movement of key risk variables were uncertain and risks remained elevated as we commenced the year with significant economic stress. The uncertainty regarding the Domestic Debt Optimisation was resolved by end June 2023 without a significant impact to the stability of the financial services sector, easing significant stress in financial markets. Interest rates moved down sharply with policy rates declining by 700 basis points while benchmark indicators such as the 364 day Treasury Bill Rate and Average Weighted Prime Rate (AWPR) declined by over 1,000 basis points reflecting the volatility of key market risk drivers. Inflation which reached 73.7% in September 2022 was on a downward trend with targeted monetary policy interventions and moved from 49.2% to 2.5% during the financial year.

As a whole, these changes contributed to greater economic stability by the close of Q1 2023/24 and Sri Lanka commenced a recovery recording positive growth for the next two quarters with all three sectors of the economy contributing to growth. A resurgence in tourist arrivals and migrant worker remittances together with IMF Extended Fund Facility eased foreign exchange liquidity, supporting appreciation of the rupee by 9%. Cautious optimism buoyed growth in Q4 2023/24 with even exports recording a sharp increase in March 2024.

Changes in key areas impacting risk management are set out in the table below:

	IMPACT ON THE COMPANY	STRATEGIES ADOPTED TO MITIGATE
Volatility in Market Variables		
Declining Interest Rates	Downward pressure on NII due to mismatches in rate sensitive assets and liabilities Risk Level: Trend: →	• Strategically managed the rate sensitive assets and liabilities in each repricing bucket to minimise the gap • Ensured timely repricing of deposit liabilities, following the market interest rate trend • Secured long-term low-cost funding sources at the low interest rate environment
Volatility in Global and Local Gold Prices	High default risk of gold loan borrowers and risk of higher losses when recovering through collateral, if price drops suddenly Risk Level: Trend: ↗	• Promptly reacted to market price changes and maintained healthy loan to value ratio at all times • Further strengthened the loan loss provision allocated for gold loan exposure • Stress tests were carried out regularly to assess the impact at a further decline in gold prices
Volatility in Exchange Rate	Possible exchange rate loss related to repayment of foreign currency borrowings Risk Level: Trend: →	• LBF has entered into cross currency swap, hence exchange rate risk is mitigated
	Create volatility in gold price in local market, leading to default risk of gold loan borrowers Risk Level: Trend: →	• Closely monitored exchange rate movement and its impact to local gold price and revised the advance amount swiftly • Exchange rate volatility was also considered in the assessment of impairment for Gold Loan portfolio by adopting VaR methodology
Government Policies		
Continued Restrictions on Vehicle Importation	Less opportunities for the growth of vehicle financing portfolio Risk Level: Trend: →	• Leveraged on the lending opportunities in the registered vehicle financing category • Strategically enhanced the lending focus on other products such as gold backed lending, digital lending, personal financing, etc.

	IMPACT ON THE COMPANY	STRATEGIES ADOPTED TO MITIGATE
Increase in Government taxes	Increase in VAT created inflationary pressure, elevating default risk Risk Level: Low Trend: →	• Adopted sound credit risk management practices such as pre/ post sanctioning of loans to mitigate the risk impact
Regulatory Environment		
Change of NPL Definition *NPL classification was tightened by reducing the number of past due days from 120 to 90 days*	Deteriorating NPL ratio Risk Level: Low Trend: →	Strengthened the post sanction credit follow-up process to enhance the customers repayment pattern. This enabled LBF to reduce the NPL ratio to 3.5% by 31st March 2024, which is better than the ratio of 4.5% reported 31st March 2023, prior to the NPL Classification change. The current NPL ratio is well below the industry average of 17.8% as at 31st December 2023
Economic Slowdown		
Low Demand for Credit *Uncertainty and high interest rates deterred investment and demand for credit*	Limited potential for portfolio growth Risk Level: Low Trend: →	• Targeted marketing of credit products to existing customers with good credit quality
High Turnover of Talented Staff • *Due to socio economic deterioration of the country, many talented employees migrated* • *Headhunting by competitors*	• Possible business loss/ interruption due to loss of talented staff • Negative impact on efficiency and productivity • Higher replacement costs Risk Level: Medium Trend: ↗	• Launched various programs to increase staff engagement • Developed retention strategies for key talent • Worked with universities to access talent pools
Technological Advancement		
Increasing Trends in Cyber Attacks	• Possible loss of customer data or confidential company information • Possible reputational, legal and financial consequences and loss of customer confidence Risk Level: Medium Trend: ↗	• Established second line of defence for Information Security Risk Management • Conducted continuous assessment of cyber risk, and vulnerability assessments • Conducted many programs to increase awareness among employees • Continuously invested to strengthen the IT security infrastructure

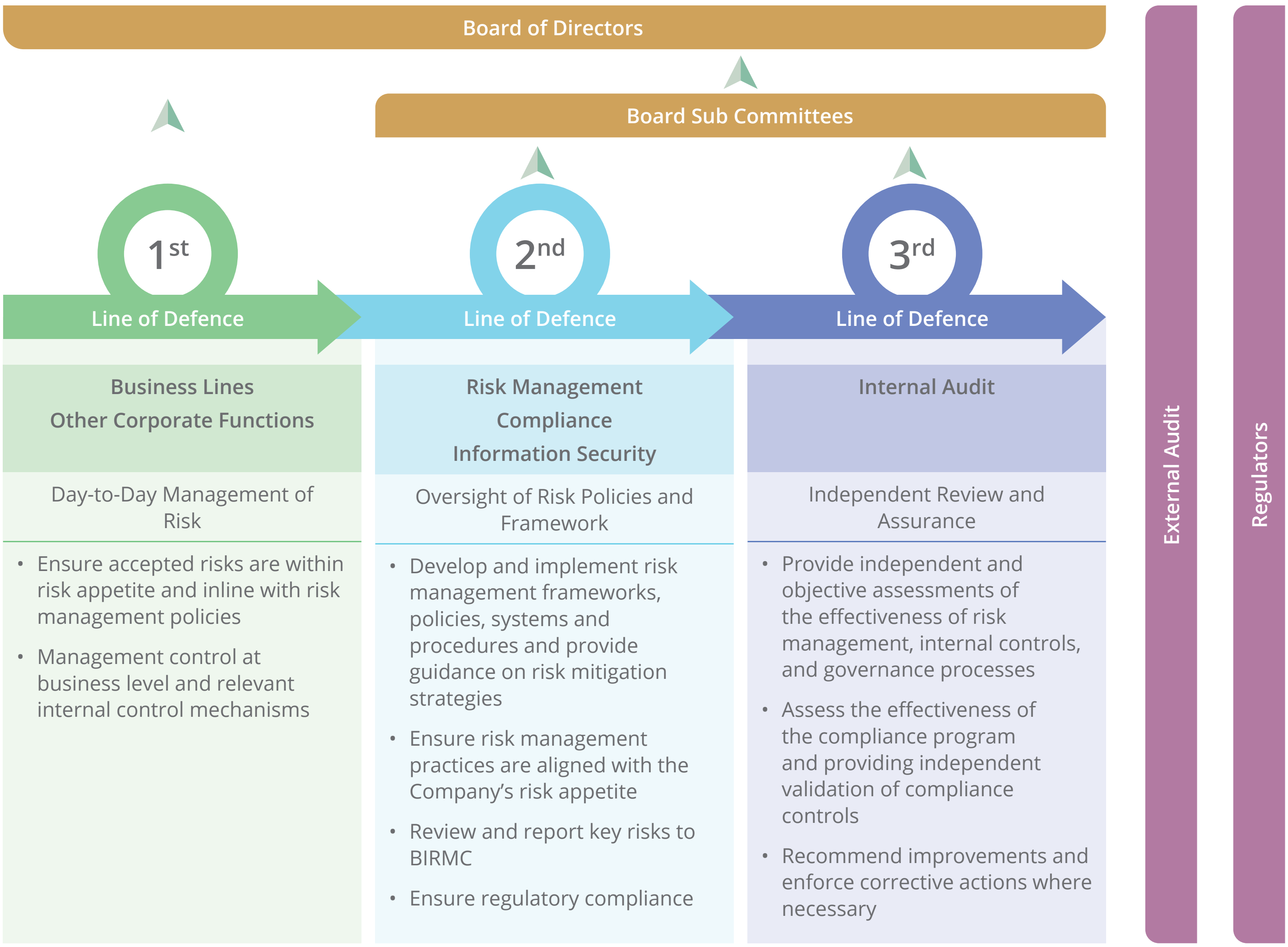
While we expect the year ahead to have greater stability and growth, we remain vigilant for early warning signs, particularly as we commence growth of credit portfolios with narrower spreads to those in the previous year. Key sources of uncertainty remaining in 2024 include the finalisation of foreign debt restructuring and the elections. The buoyancy and the resilience of the country's economy is encouraging and we are on course to consolidating the growth in 2024 with high levels of vigilance.

Medium   Low   ↗ Increasing trend   → No significant change

RISK GOVERNANCE

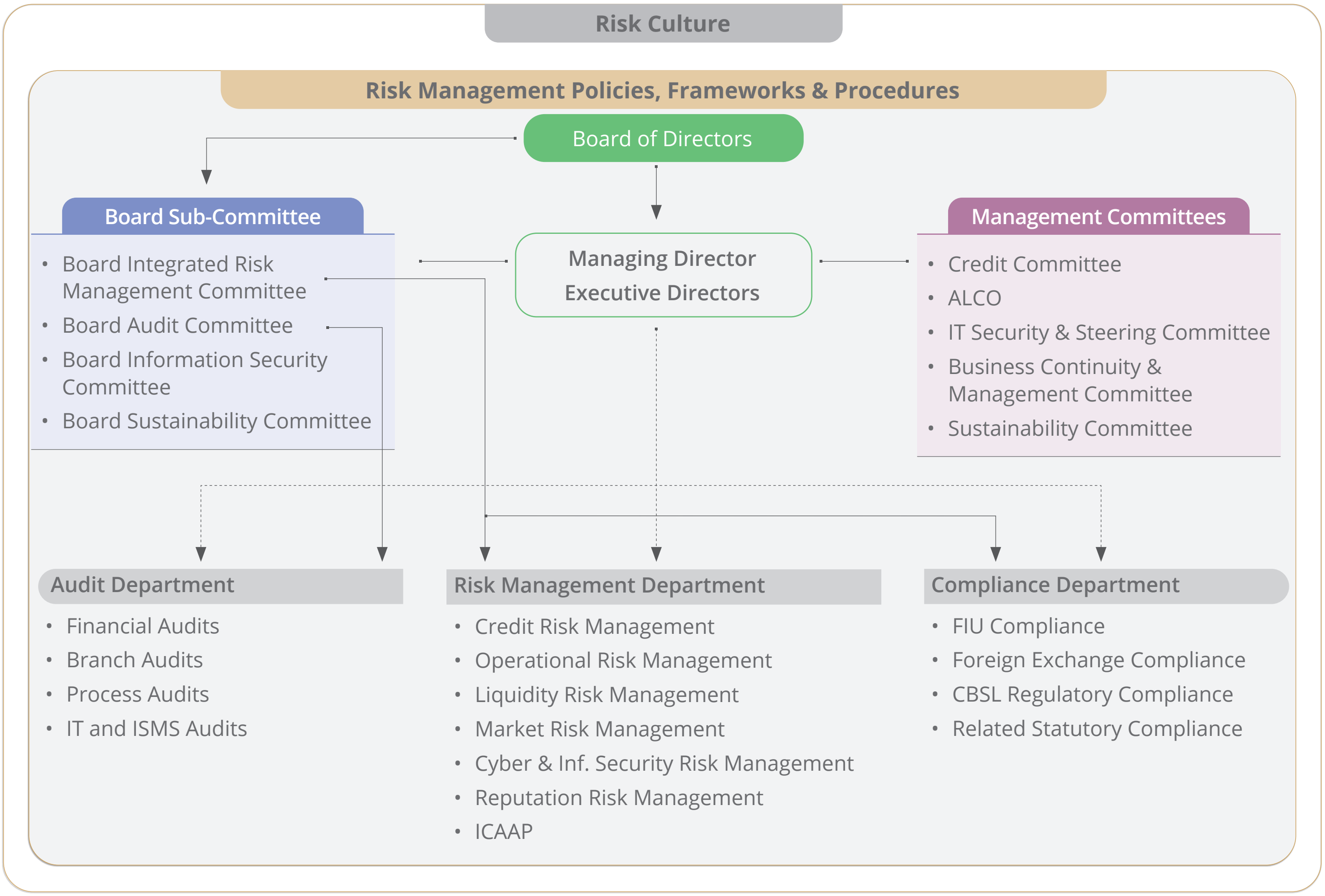
LBF's risk governance structure clarifies the roles and responsibilities for risk management and focuses on key aspects of it, enabling high levels of expertise in these areas.

The Company's risk governance structure is based on the Three Lines of Defence model in line with best practices.



The Board is ultimately responsible for managing risk and is assisted by BIRMC who have oversight responsibility for risk management. Management committees use the combined experience and knowledge of the senior management to implement measures to manage risks within the boundaries of the risk management framework. The senior management implement the risk management framework approved by the Board in conducting day to day operations.

The Head of Risk Management, Compliance Officer and Chief Information Security Officer head their respective departments which constitute the second line of defence. These key officials report directly to BIRMC to ensure the independence of these key executive functions.



The roles of Board and Management Committees related to the risk management function are summarised below. These committees functions as per the authority delegated through a Terms of Reference approved by the BOD.

BOARD AND BOARD SUB-COMMITTEES

COMMITTEE	ROLES & RESPONSIBILITIES	MORE INFORMATION
Board of Directors (BOD)	Responsible for setting in place an effective risk management function, policies and processes and regular review of risk reports to determine the risk profile of LBF. In fulfilling its responsibilities, the Board approves risk management policies, sets the risk appetite, ensures alignment between risk and strategy and reviews reports and exposures	• Meets monthly • Risk Management is a regular item on the agenda
Board Integrated Risk Management Committee (BIRMC)	Oversight of risk management and makes recommendations to the BOD on developing and implementing risk management policies, setting the risk appetite and monitoring material risks The Head of Risk Management and Compliance Officer report directly to BIRMC and are invitees to the meeting along with the CEO and CFO	Meets at least every other month BIRMC report on page 192
Board Audit Committee (BAC)	Assist the Board to fulfil its stewardship responsibilities with regard to financial reporting requirements and information requirements of the Companies Act and other relevant financial reporting regulations and requirements. It also has oversight responsibility for reviewing the effectiveness of internal control and risk management systems The Chief Internal Auditor directly reports to the BAC and is an invitee to the meetings along with the CEO and CFO	Meets at least monthly BAC report on page 188

	COMMITTEE	ROLES & RESPONSIBILITIES	MORE INFORMATION
	Board Information Security Committee (BISC)	The primary objective is to strengthen the information security and technology risk resilience process of LBF. The Committee assist the BOD in fulfilling its responsibilities to oversee the Company's information security and technology risk management	Meets at least quarterly BISC report on page 200
	Board Sustainability Committee (BSC)	Supervise, on behalf of the Board, the procedures, criteria, and tactics formulated to handle sustainability risks while maximising potential opportunities. This is achieved through monitoring the Company's performance against selected external sustainability indexes and internal metrices	Meets at least quarterly BSC report on page 202
MANAGEMENT COMMITTEES	Assets & Liability Committee (ALCO)	Provides oversight for liquidity risk and market risk management at an operational level. It reviews cashflow forecasts to manage gaps, adequacy of contingency funding plans and stress testing results in achieving its objectives	Meets at least monthly
	Credit Committee (CC)	This committee is accountable for day-to-day management of credit risk. As part of their duties, the Credit Committee monitors LBF's lending portfolio and oversees the management of asset quality and recovery actions. The Committee also periodically reviews the credit policy and lending guidelines issued to business segments, vis-a-vis changing market conditions and industry dynamics	Meets at least quarterly
	IT Security & Steering Committee (ITSSC)	Provides strategic direction and oversight to the information technology needs of LBF by ensuring business objectives and needs are been adequately addressed. The committee is also responsible for both strategic and operational aspect of information security and technology risk management. As part of their duties, the committee addresses issues on technology adoption, information security, cyber security, outsourcing, concentration and support the BISC	Meets at least every other month
	Business Continuity Management Steering Committee (BCMSC)	BCMSC governs the Business Continuity Management System (BCMS) which ensures LBF can effectively minimise the business impact, respond and recover from disruptions, resume normal operations after any interruption. It is responsible to align BCM goals with business goals and provides strategic direction	Meets when required
	Sustainability Committee (SC)	Formulates and reviews Company's sustainability policy, ensuring that sustainability activities are integrated into the Company's operations. Committee is tasked with the responsibility of steering the Company's sustainability activities	Meets when required

RISK CULTURE

Effective risk management starts with risk awareness across all three lines of defence and LBF seeks to create a culture of risk awareness among all employees on aspects relating to their roles and responsibilities. The Risk Management Department and Compliance Department spend time identifying training needs and work together with the HR Department to ensure that these are offered to employees. The risk culture is also reinforced by Internal Audit and post reviews of risk related incidents.

STRENGTHENING RISK GOVERNANCE 2023/24

- Constituted new Board Sub Committee to oversee the identification and management of sustainability and climate related risks and opportunities
- Strengthened the 2nd line of defence for Information Technology and Security Risk Management with human resource capacity building

RISK MANAGEMENT POLICY FRAMEWORK

LB Finance has a comprehensive risk management policy framework which is summarised as below. All the policies set out below are approved by the Board and provides guidance to the management on implementing processes within the Company. These policies facilitate effective identification, measuring, managing, monitoring and controlling of risks faced by the Company. The policies are reviewed annually to ensure that new developments are incorporated ensuring that frameworks are robust.

RISK MANAGEMENT POLICY FRAMEWORK

Overall policy documents include:

Integrated Risk Management Framework | Risk Appetite Statement | Stress Testing Policy | ICAAP Policy

Credit Risk	Market Risk	Liquidity Risk	Operational Risk	IT Risk
Credit Risk Management Framework	Investment Policy	ALM and Liquidity Management Policy	Operational Risk Management Framework	Technology Risk Management Framework
Credit and Operation Manuals	ALM and Liquidity Management Policy	Contingency Funding Plan	Mandatory Leave Policy	Information Security Policy
Product Development Policy			Whistleblowing Policy	Information Security Management Procedures
Delegation of Authority			Policy on Exception Monitoring	
Recovery Manual			Process Manuals	
Impairment Policy			Business Continuity and Disaster Recovery Plan	
Loan Review Procedure				
Writeoff Policy				
Related Party Transaction Policy				

RISK APPETITE

The Risk Appetite Statements is a key policy document, communicating to the executive function the risk boundaries within which the LBF should operate. Accordingly, the management committees, Board and Board Sub Committees initiate mitigating activities to steer key risk indicators, ensuring that the overall risk profile of LBF remains within the specified boundaries. The Risk Appetite Statement is reviewed annually by BIRMC and approved by the Board. The statement set out regulatory limits, covenant limits and internal prudential limits which are monitored on monthly basis, report to BIRMC and BOD.

	APPETITE	REGULATORY	MAR-24	MAR-23
Credit Risk				
Gross NPL Ratio	< 6%		3.54%	4.45%
Net NPL Ratio	< 1%		-0.79%	-0.65%
Provision Coverage Ratio	> 75%		122.42%	114.40%
Credit Concentration Risk				
Maximum Unsecured Exposure	< 2%		0.18%	0.21%
Maximum Exposure to Stress Industries	5%-7.5%		7.08%	5.30%
Maximum Exposure to Single Borrower - Secured - Individual	< 5%	< 15%	1.23%	1.40%
Maximum Exposure to Single Borrower - Secured - Group	< 10%	< 20%	1.23%	1.40%
Maximum Exposure to Single Borrower - Unsecured - Individual	< 0.5%	< 1%	0.06%	0.03%
Maximum Aggregate Unsecured Exposure	< 4%	< 5%	0.80%	1.04%
Maximum Exposure to Gold Loan (on net basis)	30%-50%		45.33%	45.83%
Maximum Accommodation to Related Party	< 1%		0.02%	0.03%

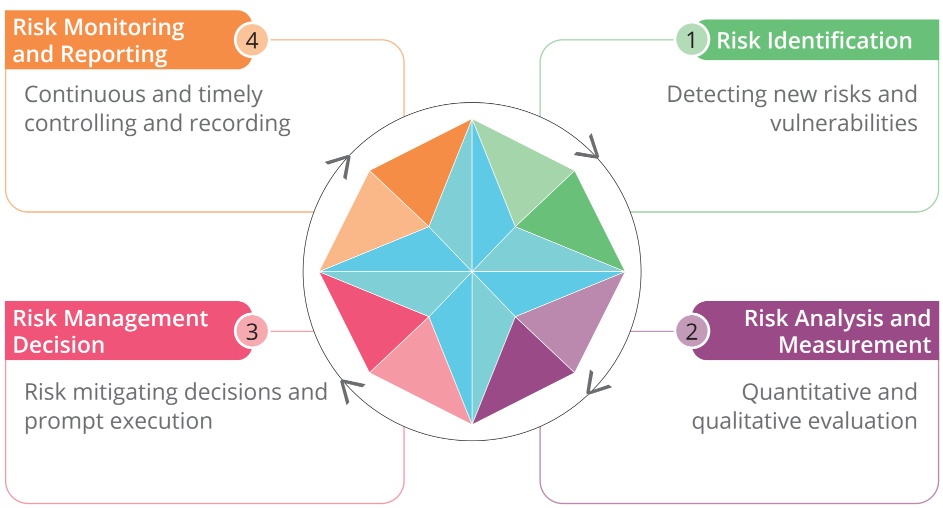
	APPETITE	REGULATORY	MAR-24	MAR-23
Capital and Leverage				
Core Capital Ratio	> 12%	> 10%	31.45%	30.50%
Total Risk Weighted Capital Ratio	> 16%	>14%	32.19%	31.13%
Capital Funds to Deposits Ratio	> 12%	> 10%	27.77%	33.43%
Liquidity Risk				
Liquid Assets to Total Savings Deposits	>12%	>15%	21.02%	19.31%
Liquid Assets to Total Fixed Deposit		>10%		
Liquid Assets to Total Outstanding Borrowings		>10%		
Largest Single Depositor to Total Fixed Deposit	< 5%		0.72%	0.61%
Maximum Exposure to Bulk Deposits (Over Rs. 50 Mn)	< 20%		12.94%	11.73%
Deposit Renewal Ratio (Overall)	>75%		81.21%	78.77%
Deposit Renewal Ratio (Non-Bulk)	> 80%		82.43%	78.49%
Market Risk				
Interest Rate Sensitivity of Liabilities (to every 1.00% increase)	< 0.75%		0.71%	0.61%

STRENGTHENING RISK POLICY FRAMEWORK 2023/24

- Conducted annual review of risk policy frameworks and amended as required to align the risk strategy with LBF's overall corporate strategy
- Conducted a comprehensive review of KRIs for appropriateness
- Reviewed the Risk Appetite Statement in line with the risk management capacities, business opportunities, LBF's business strategy and regulatory requirements
- Introduced new tolerance limits for credit risk, credit concentration risk and market risk

RISK MANAGEMENT PROCESS

LBF's risk management processes are all based on the following common process, although they vary considerably across key risks. Accordingly, all material risk types, including credit risk, liquidity risk, market risk, strategic risk, operational risk and reputational risk are managed using the risk management process set out below.



Risk Identification

This is the process of determining current and potential risks to LBF that may stemming from internal or external environment. A good understanding on the risk universe is vital for early identification of risk sources. During the year under review, LBF exposed to new risks due to volatilities in the operating environment, innovations in financial offerings, process changes, etc. Given the strong risk culture within the Company, risk identification at LBF is undertaken by employees at all levels. In the top down approach, Company leadership/BOD perceive the emerging risks that could affect the strategic goals of LBF while in the bottom up approach, the operational teams identify the risk sources while performing the day-today business.

Risk Analysis and Measurement

This process focus on assessing the likelihood and severity of the identified risks. At LBF, a range of quantitative and qualitative tools are used for this purpose depending on the principal risk type. These include; the Risk Matrix, VaR models, Financial analysis, Maturity of Assets and Liabilities analysis, Sensitivity of Assets and Liabilities, cash flow analysis, HHI, etc. Stress impact analysis under stress circumstances is also performed on continuous basis. Risk analysis and measurement is a primary responsibility of the Risk Management Department of LBF.

Risk Management Decision and Execution

Risk treatment is a dynamic process where appropriate treatment methodology is selected for each assessed risk separately, to either accept, transfer, mitigate or avoid the risk. This involves redesigning of existing controls, introducing new controls, entering in to hedging transactions, diversifying portfolios, developing contingency plans, etc. LBF's Risk Management Department under the guidance and oversight of the Board Integrated Risk Management Committee (BIRMC) are tasked with developing appropriate risk treatment approaches.

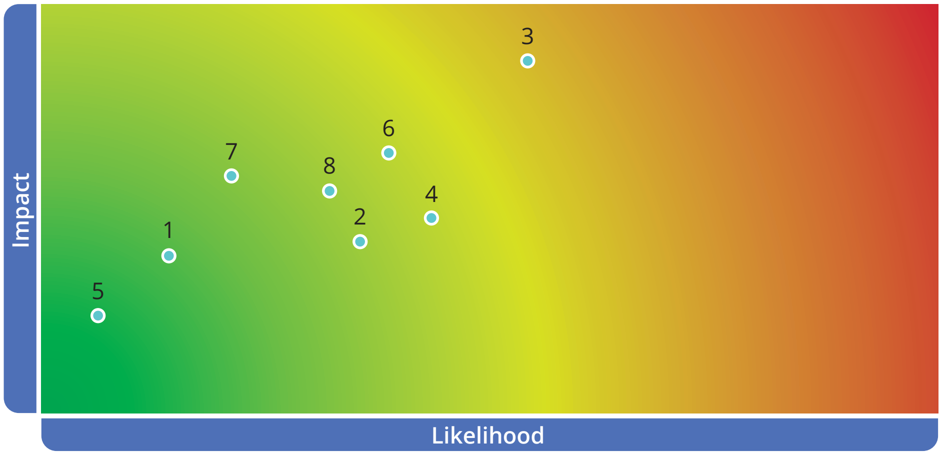
Risk Monitoring and Reporting

This process is vital to ensure the adherence to established risk control protocols and to maintain ongoing awareness of the company's risk profile. At LBF, the quantifiable risks are monitored in comparison with the risk appetite limits. Risk Register serves as a primary document which comprehensively captures the progress of ongoing risk identification, evaluation and mitigation approaches. The Risk Management Department is charged with the responsibility of continuous risk monitoring and periodic risk reporting to the senior management, BIRMC and BOD.

REGULAR RISK REPORTS	FREQUENCY	REPORTED TO
Risk Appetite Statement	Monthly	BIRMC/ BOD
Key Risk Indicators	Every other month	BIRMC
Risk Register	Quarterly	BIRMC
Risk Profile	Every other month	BIRMC/ BOD
Stress Testing Results	Every other month	BIRMC

OVERVIEW OF PRINCIPAL RISKS

A summary of LBF's principal risks are set out below reflecting their significance to the Company. A heat map of the same is presented alongside to illustrate the severity of their impact and likelihood of occurrence, relative to each other.



1 Credit Risk
2 Interest Rate Risk
3 Commodity Price Risk
4 Operational Risk
5 Liquidity Risk
6 Information Security Risk
7 Model Risk
8 Sustainability Risk

	CREDIT RISK	INTEREST RATE RISK	COMMODITY PRICE RISK	OPERATIONAL RISK
Description	The risk of financial loss to LBF if a customer or a counterparty to a financial instrument fails to meet its contractual obligations	Potential losses arising from interest rate movements that affect the overall performance of the financial markets	Potential losses arising from movements in commodity prices that affect the overall performance of the financial markets. For LBF, the relevant commodity is gold	The risk of loss resulting from inadequate or failed internal processes, people or systems, or from external events
Sustainability Lever Impacted				
Capitals Impacted	FC SC	FC SC	FC SC	FC SC IC MC NC HC
Risk Monitoring	• Continuous monitoring of key risk indicators attached to asset quality, concentration, provisioning and collaterals • Credit portfolio analysis	• Close monitoring of rate sensitive assets and liabilities • Stress scenario impact analysis	• Close monitoring of global and local market price movements • VaR assessment • Stress impact analysis	• Risk and Control Self-Assessment (RCSA) for fraud risk • Exception monitoring • Monitoring actual loss incurred and number of loss events • Branch operational risk assessment
Mitigation Actions	• Risk based pricing • Collateral support • Sound credit evaluation process • Conducting regular credit reviews • Diversify the portfolio in terms of products, geographies, borrowers • Ensure risk appetite limits are maintained • Prudent provisioning approach	• Timely repricing of assets and liabilities • Minimise the gap between rate sensitive assets and liabilities in different repricing buckets	• Maintaining healthy LTV • Prudent provisioning approach for Gold loan portfolio • Timely auction of Gold stock	• Root cause analysis of loss / near miss incidents and introduce new controls or redesign existing controls as required • Insurance • Staff awareness • Implementation of Mandatory Leave Policy • Sound internal control system and continuous strengthening • Contingency Planning • Implementation of Whistle Blowing Policy and review of related incidents
Opportunities/ Way forward	• Strategically diversify the lending portfolio to other products such as CIM digital loans, personal financing, etc. • Enhancing portfolio management enabling first line to react faster	• Mobilise more savings deposits • Secure long-term borrowings at low interest rates	• Further strengthen the provisioning	• Continuously strengthening the internal control procedure • Further expand the exception monitoring process • New initiatives including career development programs to retain talented employees

LIQUIDITY RISK	INFORMATION SECURITY RISK	MODEL RISK	SUSTAINABILITY RISK
Inability to meet Company's short-term contractual obligations without sustaining unacceptable losses	Risk of potential threats exploiting vulnerabilities in information systems, processes, or assets, thereby compromising the confidentiality, integrity, or availability of sensitive information	The potential loss due to decisions based on the output of internal models, which can result from errors in the development, implementation, or use of these models	Uncertain social or environmental event or condition that, if it occurs, can cause a significant negative impact on LBF. It also includes the opportunity that may be available to the Company due to changing social or environmental factors
FC SC	FC SC IC MC HC	FC IC	FC SC IC MC NC HC
• Monitoring cashflow forecast under normal and stress scenarios • Close monitoring of mismatch in assets and liabilities in different maturity buckets • Close monitoring of KRIs such as liquid asset ratio, deposit rollover rate, etc. • Stress impact analysis	• Conduct vulnerability assessments on regular basis • Privilege user access monitoring • System downtime monitoring • Monitoring malicious network behaviours	• Comparison of model output with expected results	• Perform internal and external audits to assess compliance with sustainability standards and regulations • Use frameworks like ISO 14001 (Environmental Management) and ISO 26000 (Social Responsibility) • Regularly communicate with stakeholders to understand their concerns and expectations regarding sustainability
• Maintain adequate liquidity reserves • Diversify funding sources • Having in place a Contingency Funding Plan • Manage deposit concentration	• Employee and customer awareness • Capacity building (Invest in required Inf security solutions and acquiring skilled staff)	• Internal and external model validation	• Ensure sustainability risks are considered in strategic decision-making processes • Ethical marketing and advertising practices • Solar energy at branches in addition to the use of main grid electricity • Offering digital products to minimise paper consumption, customer foot print, carbon emission and to enhance efficiency through time saving measures • Recruiting branch staff from its locality creating job opportunities to youth all over the country including very rural areas
• Further diversification of funding allowing to access a variety of funding sources	• Establishing a Security Operation Center (SOC) • Enhancement of risk monitoring • Strengthen the existing controls to prevent data leakage • Initiatives on personal data protection in line with the Personal Data Protection Act	• Establish model risk governance framework • Strengthening of model risk monitoring in the second line and documentation quality in the first line	• Introducing green financing products • Increase staff awareness through targeted training initiatives to strengthen sustainable risk management within LBF • Continue the solar energy program for new branches

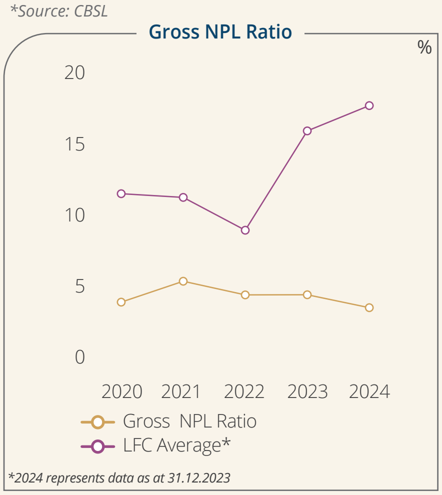
CREDIT RISK

Credit risk mainly stems from lending and includes investment activities as well. It is the largest risk exposure for the Company as assets with exposure to credit risk accounted for Rs.193 Bn, equivalent to 96% of Total Assets of the Company while credit risk accounts for 81% of total risk weighted assets. This key exposure is managed in accordance with the Credit Risk Policy suite within the boundaries set by the Risk Appetite Statement as risks change in response to a dynamic risk environment.

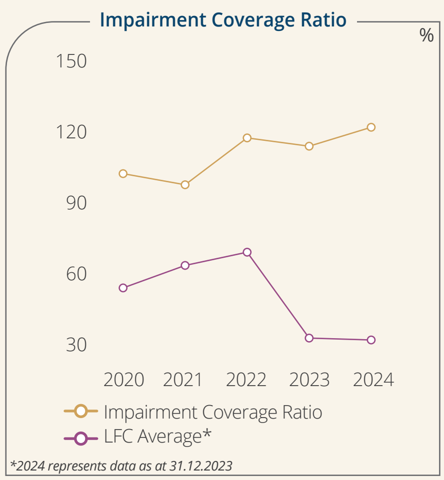
Definition	Credit Risk Components	Objective
The risk of financial loss to the Company if a customer or a counterparty to a financial instrument fails to meet its contractual obligations	• Default Risk • Concentration Risk • Settlement Risk	Safeguard the asset quality and reduce exposures to high risk segments

KEY RISK INDICATORS	31.3.2024	31.3.2023	LFC AS AT 31.12.2023*
Gross Non Performing Advances to Total Advances	3.54%	4.45%	17.76%
Net Non Performing Advances to Total Advances	-0.79%	-0.65%	11.98%
Total Net Advances to Total Assets	79.78%	79.62%	68.58%
Impairment Coverage Ratio	122.42%	114.40%	32.53%

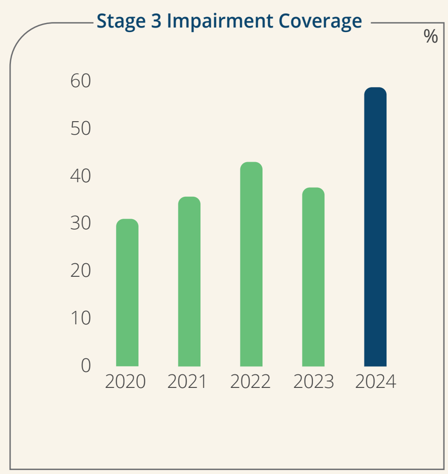
*Source: CBSL



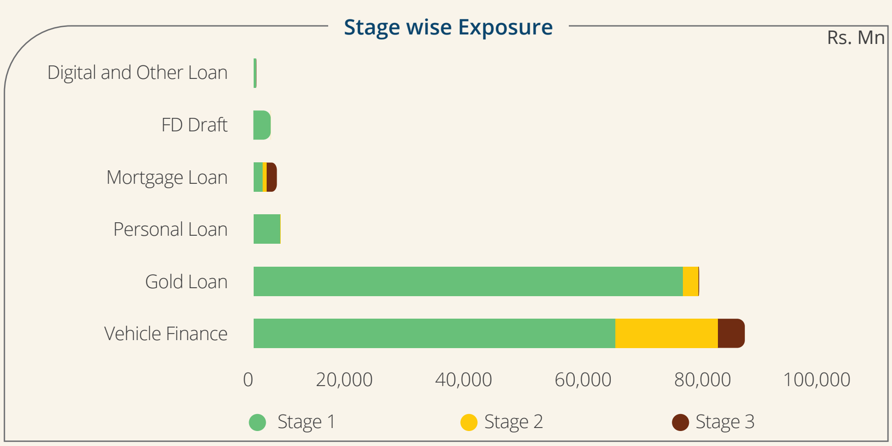
LBF has consistently maintained its NPL ratio below the industry average reflecting its focus on credit quality



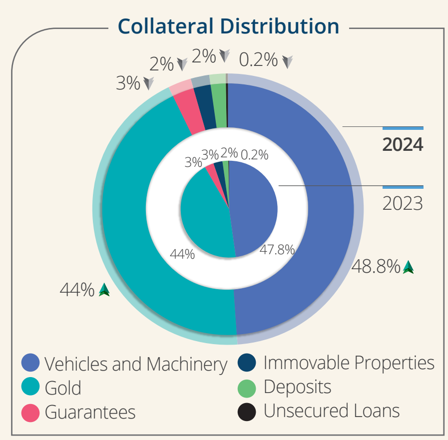
LBF continued to maintain impairment coverage ratio well above the LFC average reflecting prudent provisioning for credit risk in an uncertain environment



Stage 3 impairment coverage increased during the year reflecting LBF's prudent approach to provisioning



Stage 3 loans are concentrated in vehicle financing, and mortgage loans

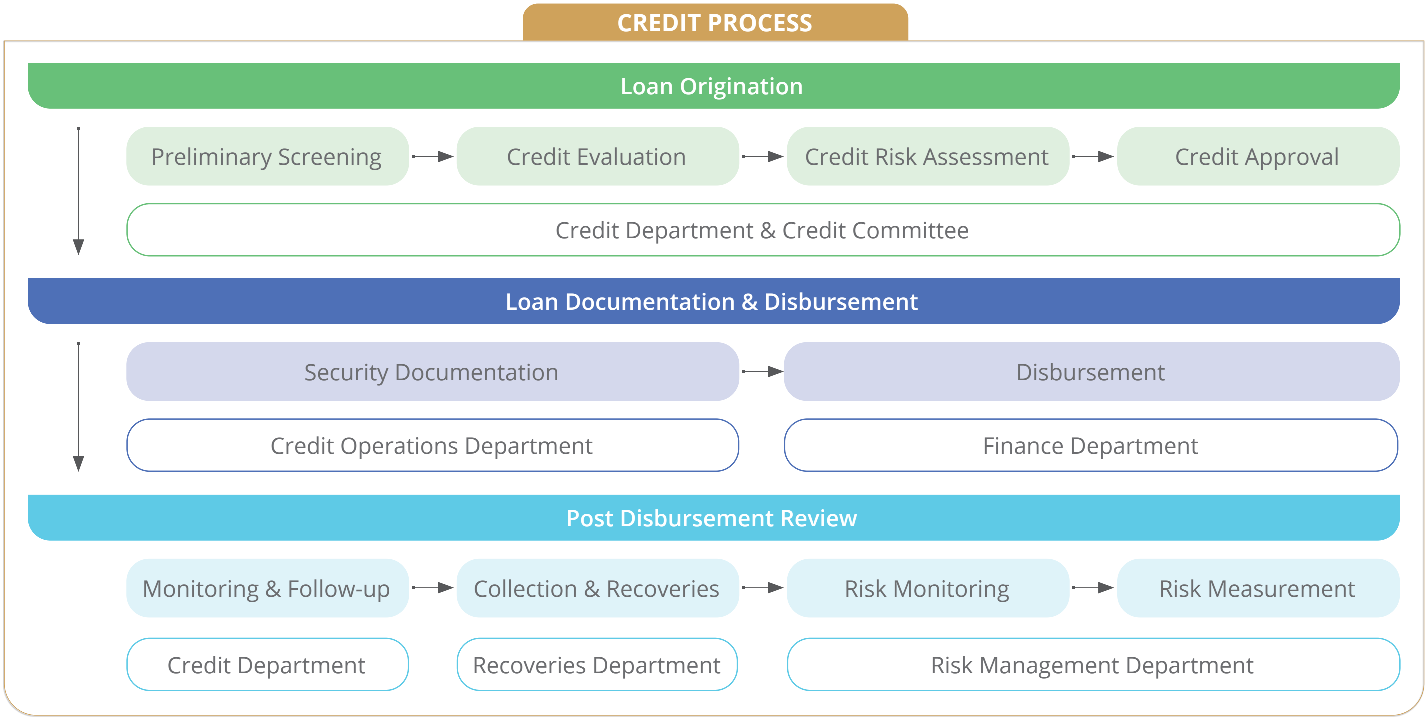


Unsecured portfolio continued to be insignificant while 95% of the portfolio is secured by physical assets

Managing Credit Risk at LBF

The goal of credit risk management is to maximise the Company's risk-adjusted rate of return by maintaining credit risk exposure within acceptable parameters. Credit Risk remained elevated in the first half of the financial year, easing gradually in line with economic stress.

The Company has a well-structured credit process that spells out the guidelines and parameters within which the Company's credit decision process takes place. Company's credit approval process plays the most vital role in credit risk management on a day-to-day basis. The process defines the principles about delegation of lending authority, client selection, due diligence in line with the Company's risk appetite. Company uses various credit indicators to identify the emerging credit risks and analytical tools to manage such risks.



The Credit process is summarised below:

PROCESS	OBJECTIVE	PROCEDURE	RESPONSIBLE DEPARTMENT
Loan Origination	Assess borrower's ability to meet obligations and determine suitable terms and conditions including pricing and timing of repayments in line with ALCO determinations This is a critical control and the principal means of credit risk management	• Investigation of assets and review of documentary evidence, references, income sources, and past payment history • Assess counterparty risk with internal risk scoring models • Loan is approved based on the Delegation of Authority and large exposures are approved by the Credit Committee	Credit Department
Loan Documentation and Disbursement	Facilitate efficient disbursement process	Ensure adherence to approved procedures in credit manual	Credit Operations Department
		Disbursement	Finance Department
Post Disbursement Review	Monitor and follow up on loan repayment	Initial monitoring	Credit Department
		Recovery and collections	Recoveries Department
		Asset quality performance review	Risk Management Department

1 2 3 4 5 6 7

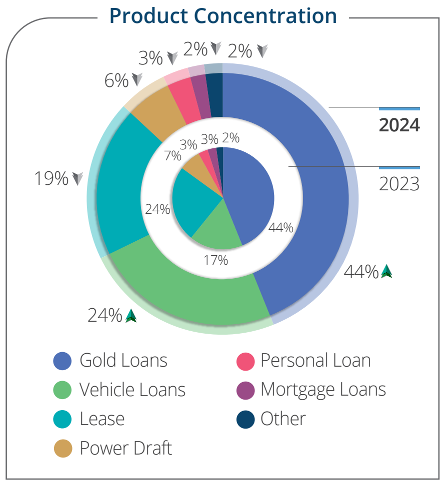
The NPL ratio increased at the start of the financial year due to a change in the definition of NPL classification. LBF improved the credit follow-up process after sanction and positively affected the repayment pattern of the customers to reduce the NPL ratio. LBF achieved 3.5% NPL ratio by the end of the financial year, which is considerably lower than the industry average. The Company has provision cover more than 100%, resulting a net NPL ratio of -0.8% as at 31st March 2024.

When introducing or undertaking any new products or activities, related risk management procedures and controls are reviewed to ensure that any risks arising from the proposed activity will be within the Company risk appetite and that processes and controls are sufficiently robust prior to approval by the Board. The company has a reliable management information system that supports credit risk monitoring across multiple dimensions.

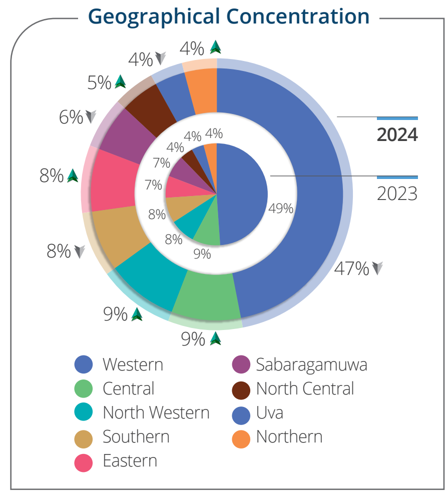
Credit Concentration Risk

Credit concentration risk refers to the potential financial loss that arises from having a large portion of credit portfolio concentrated in a single borrower, sector, geographic region, or type of loan. If the concentrated segment experiences adverse events, such as economic downturns, industry-specific challenges, or borrower defaults, it can disproportionately impact the Company's overall financial health and stability.

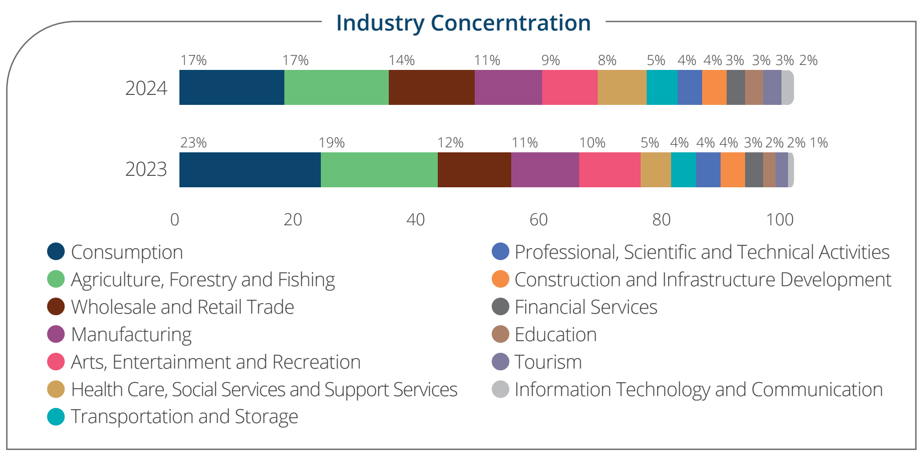
LBF has adopted an approach of diversifying its credit portfolio across multiple characteristics of borrowers varying from industry sector, geography and products. Risk appetite limits are established to control the level of exposure and perform continuous monitoring of the credit portfolio ensuring proactive risk management. Robust credit policies and procedures are implemented to govern lending practices and limit exposure to high-risk segments. Regular stress testing is conducted to evaluate the potential impact of adverse scenarios on the credit portfolio, helping to identify vulnerabilities and prepare strategies to mitigate potential losses.

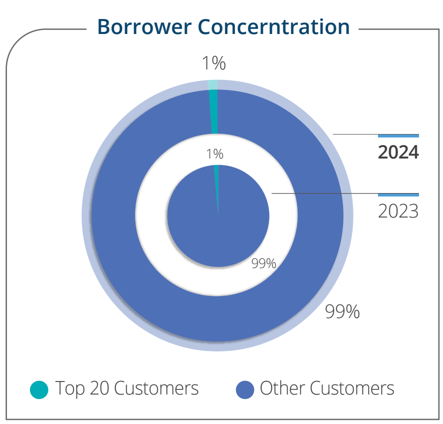


Vehicle financing being the core product of LBF, the concentration continued to be weighted to lending secured by vehicles (vehicle loans, leases and power drafts), while there is a notable contribution from gold loans.



The portfolio is concentrated to Western Province due to its substantial economic activity and high population density. Nevertheless, it's evident that LBF actively operates in all provinces.





Exposure to top 20 customers is minimal at 1% reflecting diversification of the credit portfolio across borrowers.

STRENGTHENING CREDIT RISK IN 2023/24

- Reviewed the Credit Risk Management framework and other related policies and procedures
- Conducted credit quality review of vehicle financing portfolio
- Conducted detail portfolio analysis of digital loans and strengthen the credit underwriting and recovery processes
- Reviewed Risk Appetite Statement and established new risk tolerance limits
- Strengthened the recovery efforts with more resources
- New stress testing scenarios were introduced and strengthened the process

LIQUIDITY RISK

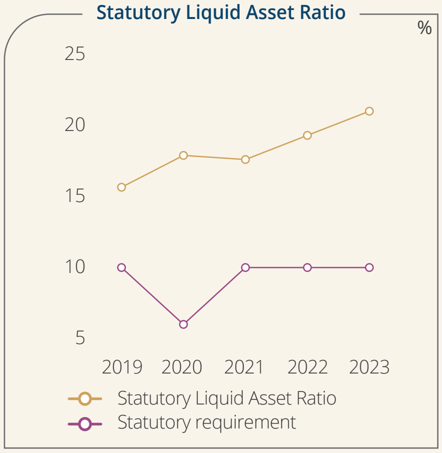
Liquidity risk has been carefully monitored to ensure that the Company had sufficient liquidity buffers, particularly due to stresses in the economy over the past few years as maintaining financial stability was paramount. As a large player in the country's NBFI sector, financial stability of LBF has a significant impact on the stability of the financial sector in the country. Consequently, there was significant focus on liquidity risk by the regulator as well.

Definition	Liquidity Risk Components	Objective
An entity's inability to meet its short term contractual obligations without sustaining unacceptable losses	• Funding Liquidity • Market Liquidity	Safeguard against funding constraints that prevent growth and meet demands of depositors/investors

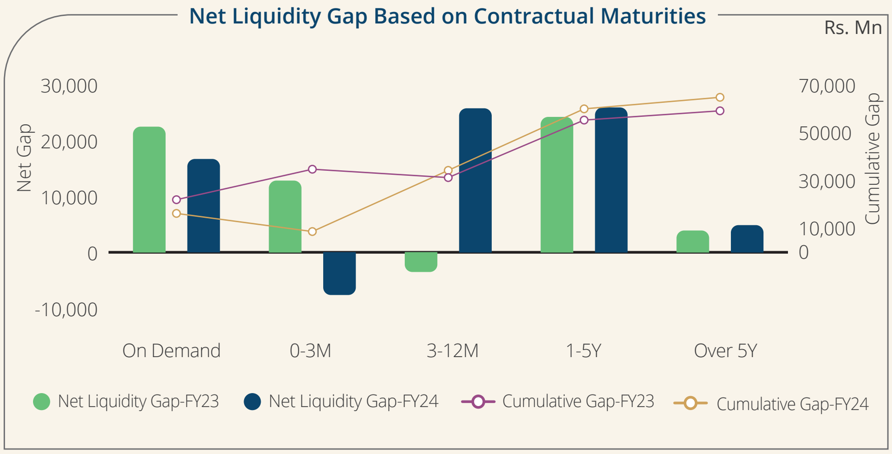
KEY RISK INDICATORS	31.3.2024	31.3.2023	LFC AS AT 31.12.2023 *
Regulatory Liquid Assets to Total Assets	12.89%	12.13%	14.09%
Regulatory Liquid Assets to Deposits & Borrowings	21.02%	19.31%	21.25%

**Source: CBSL*

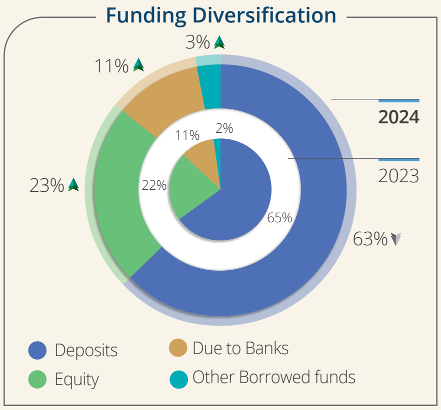
Liquidity improved during the year as affirmed by the improvement in ratios compared to the previous year. This was also partly due to the slow credit growth due to high levels of cost in the market



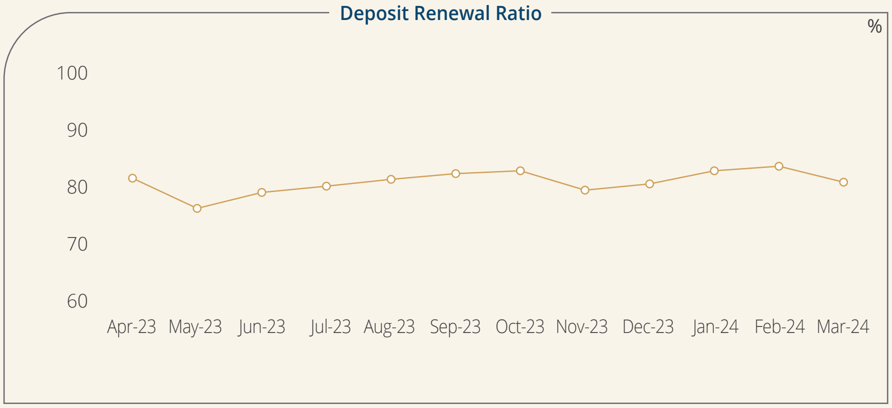
LB Finance maintained adequate liquidity, well above the regulatory requirement while optimising returns.



Even though 0 - 3 age bracket shows a negative liquidity gap the fixed deposit renewal ratio above 75% and renewals of gold loans makes the gap positive in the actual position.



Funding mix maintained largely unchanged compared to last year and 63% consists of deposits from customers.



The renewal ratio was maintained above the threshold limit of 75% throughout the year.

Liquidity Risk Management

Managed by LBF's Treasury, the liquidity management strategy aims to ensure adequate capital and liquidity buffers are in place to comply with the regulatory minimum requirements under normal and stressed conditions. In this regard, LBF's main source of funding comes from deposit mobilisation activities. Treasury also pursues diverse funding sources both locally and internationally to supplement the funds mobilised through savings and deposits with institutional borrowings and other debt instruments. LBF's Asset and Liability Committee (ALCO) provides oversight for the proper implementation of the liquidity strategy as set out in the Board approved Asset and Liability Management and Liquidity Management Policy. The Contingency Funding Plan provides a framework for LBF to evaluate increasingly severe liquidity situation and monitor the availability of funding over these scenarios. This serves as the directive that should be followed in a stress liquidity circumstance that disrupts day today funding of LBF.

DEPARTMENT	PROCESS
ALCO	Monitoring liquidity risk, reporting and analysing, making proposals, setting limits and guidelines, formulating and implementing plans relating to liquidity risk management
Treasury Department	Preparing forecasted cash flow statement, presenting at the ALCO to evaluate future funding requirements, monitoring daily funding requirements, considering routine cash flows and one-off outflows
Risk Management Department	Using stressed behaviour modelling techniques to determine the Company's cash flow requirements, identifying signs of stress, continuous monitoring of Key Risk Indicators in liquidity risk

STRENGTHENING LIQUIDITY RISK IN 2023/24

- Maintained the deposit renewal ratio above the internal threshold throughout the year
- Strengthened the cashflow stress testing process by enhancing the frequency
- Continuously analysed and monitored the liquidity position to ensure that an adequate buffer of liquid assets are maintained
- Managed the deposit concentration through close monitoring of risk indicators
- Conducted frequent ALCO meetings to make necessary decisions for effective implementation of liquidity risk management strategy

MARKET RISK

Profitability of LBF is significantly impacted by movements of market factors which are beyond the control of any single entity. These market factors impact valuations of portfolios of assets and liabilities as most transactions involve at least one element of market risk. Consequently, LBF manages these exposures, carefully balancing profitability and stability within the risk appetite set by the Board.

Definition

Potential losses arising from factors that affect the overall performance of the financial markets which cannot be eliminated through diversification

Components of Market Risk

- Interest Rate Risk
- Foreign Exchange Risk
- Equity Price Risk
- Commodity Price Risk

Objective

Safeguard against adverse movement of market factors arising out of price sensitivities of funding sources, investments and commodity prices

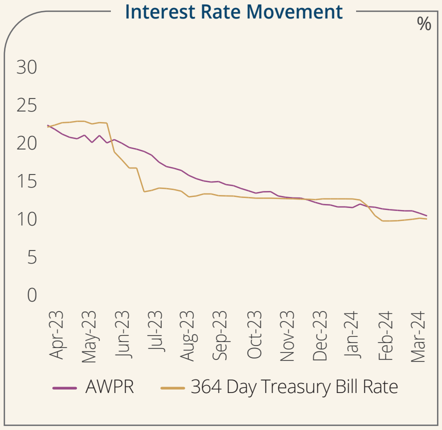
KEY RISK INDICATORS	31.3.2024	31.3.2023	LFC AS AT 31.12.2023*
Interest Income to Interest Expense	214.53%	192.30%	167.07%
Net Interest Margin	13.70%	11.86%	7.74%

**Source: CBSL*

LBF is primarily expose to Interest Rate Risk and Commodity Price Risk. LBF is also exposed to Foreign exchange risk through the gold prices in international markets as well as on its foreign currency denominated borrowings

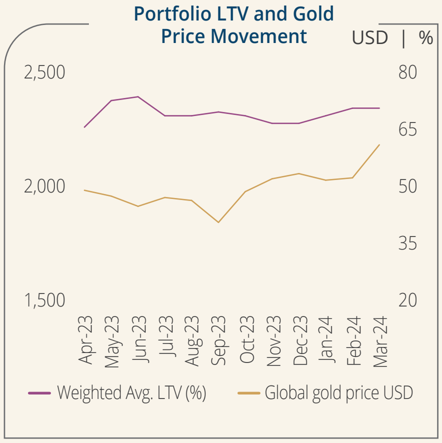
Interest Rate Risk

Market interest rates declined by over 1,000 bps during the year under review, considerably increasing interest rate risk.



Commodity Price Risk (Gold)

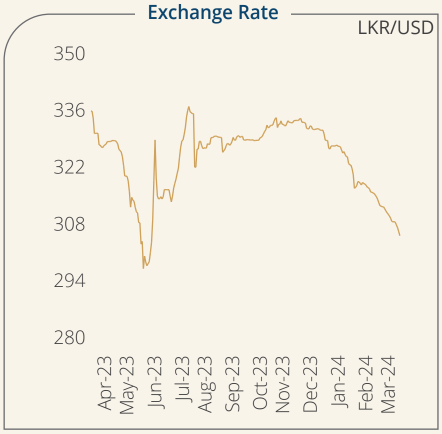
Gold prices remained volatile throughout the financial year experiencing a 20% increase during the second half



Gold loan portfolio amounts to Rs. 73 Bn which is 36% of its total assets. LBF maintained the portfolio weighted average LTV ratio around 70%, by adjusting the advance value in alignment with fluctuations in market price.

Foreign Exchange Risk

As the country moved towards recovery, the rupee appreciated against the US dollar, gaining 9% at the close of the year in a reversal of movements in previous years.



LBF's exposure to foreign exchange risk is minimal at present.

Management of Interest Rate Risk

LBF manages interest rate risk primarily through alignment of interest rate bearing assets and liabilities to protect interest rate spreads from undue volatility in interest rates. It weights the portfolio with shorter re-pricing periods to reduce interest rate gaps and while also negotiating interest rate caps on new borrowings.

DEPARTMENT	PROCESS
ALCO	Responsible for management of Interest Rate Risk and closely monitors the market movements to determine pricing of deposit and lending products. It also issues directions to lending and borrowing units on interest rate strategies
Treasury Department	Management of funds to achieve a higher yield from investments while negotiating with Banks to secure bank borrowings at lowest possible cost
Risk Management Department	Conducts regular stress testing to assess interest rate sensitivity on LBF's asset and liability portfolios and evaluates the likely financial impact under adverse scenarios

Impact on Net Interest Income due to a parallel rate shock of 1% on rate sensitive assets and liabilities

	31.03.2024		31.03.2023	
	Parallel Increase 1%	Parallel Decrease 1%	Parallel Increase 1%	Parallel Decrease 1%
Annual Impact (Rs.Mn)	176.24	(176.24)	297.07	(297.07)

Management of Commodity Price Risk

Gold loans are of short duration to manage commodity price risks due to high volatility and high degree of difficulty in predicting movements. The exposure to a gold loan is typically 1 to 4 months providing flexibility to reprice the portfolio inline with the movements in market prices. LBF promptly response to the market price fluctuation and revisit the maximum advance amount ensuring that Board approved safety margin is maintained at all times.

Gold items are auctioned in a timely manner to further reduce the risk.

Value at Risk (VaR) model is used as a key tool to asses the maximum estimated loss that can arise with a specified probability over a specified period of time due to adverse movement of gold price. A separate impairment provision is allocated for gold loan portfolio to absorb any unexpected losses.

Continuous stress testing is carried out to asses the effects of declining gold prices across a range of levels.

STRENGTHENING MARKET RISK IN 2023/24

- Strengthened the stress testing scenario analysis process
- Implemented timely re-pricing strategies to minimise the risk during the rapid decline in interest rates
- Explored alternative investment opportunities thorough analysis of risk and potential returns

OPERATIONAL RISK

Operational risk is a key risk due to its pervasive presence across all transactions as LBF is a financial institution. Significant resources are allocated to managing this key risk and LBF notes its success in reducing the number of loss incidents in a year of significant economic stresses.

Definition

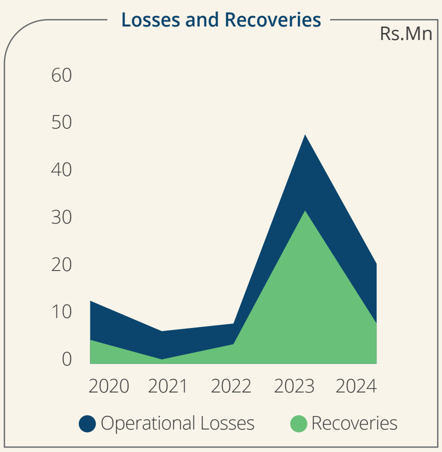
The risk of loss resulting from inadequate or failed internal processes, people or systems, or from external events

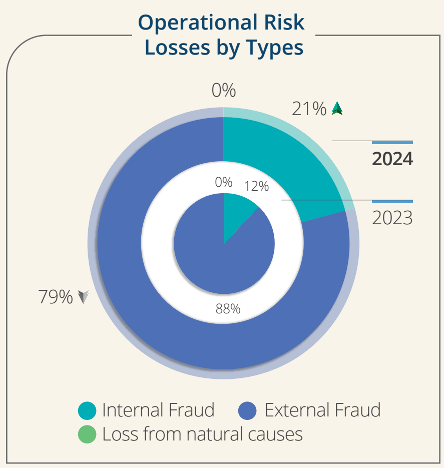
Operational Risk Components

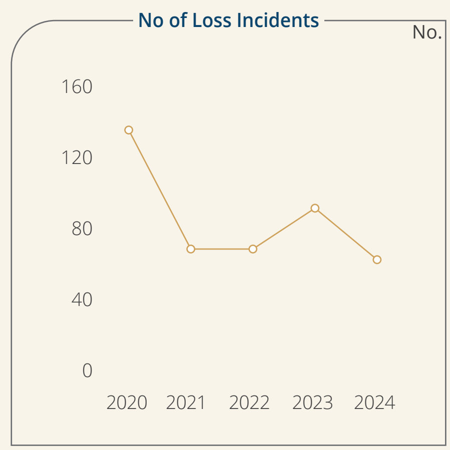
- Compliance Risk
- Legal Risk
- Financial Crimes Risk
- Technology Risk
- Information & Cyber Risk
- Business Continuity Management
- Fraud Risk

Objective

Improve the reliability and effectiveness of business operations and enhance organisational capability in ensuring safety of staff







Operational Risk Management

Operational risk is managed proactively, scanning for exceptions, trends and anomalies. LBF has adopted a Board approved Operational Risk Management Framework that facilitates effective identification, measuring, managing, monitoring and controlling of risks faced by the company and defines the roles and responsibilities in operational risk management.

The following processes support management and mitigation of operational risks:

- The business processes, systems, controls, and external factors are reviewed to identify and record specific potential risks that could affect operations
- Having in place a robust internal control system
- Risk and Control Self-Assessment (RCSA) is used to evaluate fraud risks at different levels within operational processes of the company
- Gathering internal and external reports on fraud events
- Root cause analysis of loss / near miss incidents and introduce new controls or redesign existing controls as required
- Independent assurance from Internal Audit Department on operational processes and IT systems covering all core applications and security aspects
- Monitoring system failures, telecommunication problems, breakdowns and hacking events
- Exception monitoring through automated process
- Whistleblowing Policy
- Training for employees to enhance the awareness on possible operational loss events in their day to day operations
- Contingency Planning
- Insurance

LBF employs customised approaches to manage operational risks arising in the course of the day to day operations.

Business Continuity Management

LBF has established a Business Continuity Management System (BCMS) to facilitate resilience in its operations. BCMS encompasses business continuity, disaster recovery, crisis management, incident management, emergency management and contingency planning activities. This enables the Company to minimise the impact to its stakeholders in case of disruptive events or disasters and support a return to normalcy as fast as possible.

The BCM Steering Committee which is comprised of key staff members, plays an integral part of the BCM program. BCM Steering Committee enables the company-wide roll out of the BCM and ensures the alignment of business goals with the BCM goals. The scope of the BCM includes programme initiation and management, risk evaluation and business impact analysis, developing business continuity strategies, emergency preparedness and response, developing and implementing business continuity plans, awareness building and training, business continuity plan exercise, audit and maintenance, crisis communications and coordination with external agencies.

During the year under review, the core and other critical systems were operated from the Disaster Recovery (DR) site.

STRENGTHENING OPERATIONAL RISK IN 2023/24

- **Expanded the scope for assessing Fraud Risk within the Risk and Control Self assessment process by including more processes for review. This strengthens the RCSA process and facilitates identification of potential weaknesses in controls that can be strengthened to further minimise fraud risk**
- **Established an automated exception monitoring process and revised the Policy of exception monitoring to further strengthen the process**
- **Strengthened the Branch Operational Risk assessment methodology by implementing a new score card enhancing the evaluation of operational risk at each branch and identifying potential areas of weaknesses effectively**
- **Performed AML and TF risk assessment for products and processes adopting an enhanced scoring methodology. Further analysis was conducted for products and processes categorised as medium or high risk to ensure adequacy and effectiveness of controls for mitigating these risks**

INFORMATION TECHNOLOGY AND INFORMATION SECURITY RISK

LBF is going through a rapid digitalisation to enhance operational efficiency, customer experience, and competitive advantage. However, this digital transformation increases the InformationTechnology (IT) risks necessitating an enhancement of its IT Risk Management Framework. LBF diligently addresses these risks through the implementation of robust security control measures to mitigate cybersecurity threats.

Information Security risk is a key risk as LBF is a retail financial institution and maintains personal data of its customers. Accordingly, LBF is required to comply with the Personal Data Protection Act No. 9 of 2022 and take steps to ensure that the information remains secure.

LBF recognises the criticality of effectively managing IT risks to safeguard its digital operations. The company has implemented a robust and proactive IT risk management approach considering the factors such as cybersecurity, data privacy, and operational resilience.

Cybersecurity measures has been achieved through multi-layered security controls, such as firewalls, intrusion detection systems, and encryption mechanisms, to protect sensitive customer data and prevent unauthorised access. Regular security assessments, vulnerability scanning are conducted to identify and mitigate potential vulnerabilities. LBF places great emphasis on data privacy to ensure compliance with applicable regulations and safeguard customer information. The company has implemented comprehensive data protection measures, including encryption, access controls, and robust data storage practices. LBF began working on adopting mandates set out under the Personal Data Protection Act. Further operational resilience is a key aspect of LBF's IT risk management approach. The Company has implemented robust business continuity and disaster recovery plans to mitigate the impact of potential system failures, natural disasters, or other disruptions.

Risk mitigation methodology involves prioritising, evaluating and implementing the appropriate risk treatment techniques such as technical, operational and management controls to prevent identified risks exploiting the vulnerabilities.
This process is strengthened by the implementation of the Company's Information Security Management System (ISMS), which was established according to the ISO/IEC 27001:2022 standard. A comprehensive Information Technology (IT) Audit framework further augments these efforts.

Managing IT and Information Security Risk

- Conducting technical vulnerability assessment of network, web applications, databases, servers, firewall, wireless networks and web/ mobile applications
- Conduct third party due diligence assessments
- Monitoring of system audit trails to identify patterns and anomalies.
- Conducting comprehensive information system audits to encompass LBF`s critical infrastructure and applications
- Performing risk assessment exercises on critical technology functions, technology transformation projects, and system implementations
- Analysis of information security-related incidents to identify vulnerabilities and weaknesses in the information systems and infrastructure, thereby uncovering gaps and potential loopholes
- Inputs taken from other periodic statutory/regulatory audits and ISO 27001 surveillance audits

STRENGTHENING IT AND INFORMATION SECURITY RISK IN 2023/24

- Strengthened 2nd line of defence for Information Technology and Security risks with human resource capacity building
- Strengthened privilege access monitoring mechanism
- Performed a detail risk assessment on cloud solutions
- Performed pre-implementation risk assessment of new technologies
- Conducted annual review of Information Risk Management Framework
- Implemented IT Risk register to ensure action plans are in place to mitigate those identified risks
- Performed continuous training sessions to enhance employee awareness on cyber security

Refer Intellectual Capital Report on pages 120 to 127 for more detailed information

COMPLIANCE RISK

LBF remains firmly committed to conducting its business in accordance with the laws and regulations imposed by the regulatory authorities. Due diligence activities carried out by LBF's internal audit and compliance teams reinforce the Company's zero tolerance approach for non-compliance. Apart from this, the Board and Board Sub-Committees continue to monitor the latest regulatory developments in order to promote early adoption. Compliance Risk is assessed as low.

MANAGING COMPLIANCE RISK

Internal audit reviews are carried out to assess the extent of compliance at branch and departmental level.

Regular monitoring of compliance with the directions issued by the regulator.

Continuous monitoring of transactions to identify potential risks related to Financial Crimes.

Conduct Customer Due diligence on a timely manner and perform enhanced due diligence as required.

STRATEGIC RISK

LBF has a clear strategy for business that minimises strategic risk. The Board approves a 3-year strategic plan, annual budget and business plans, which support the Company's value creation goals. The main strategic actions for the financial year under review were; to leverage on Business opportunities and grow the vehicle financing portfolio, continue the market share on Gold back lending and enhancing the digital financial solutions to customers.

We assess strategic risk by conducting reviews of pre and post implementation financial performance for every product, project and investment. Quarterly budget reviews and monthly variance analysis on key income and expense items are performed to ensure that the company is operating with the correct strategic focus and to identify early warnings of any possible strategic risk. LBF has a solid Board approved strategy that underpins the Company's progress towards achieving value creation objectives.

Refer Strategy on pages 50 to 54 for more detailed information

REPUTATIONAL RISK

LBF has built a strong reputation through its effective leadership, sound business strategy and solid risk management fundamentals, as well as its ethical conduct and its commitment to corporate responsibility. It is recognised as a leading financial institution in Sri Lanka. LBF remains vigilant regarding possible risks to its reputation by checking media reports, social media content, feedback from frontline staff and market survey results. Additionally, its comprehensive stakeholder engagement mechanisms provide insights in to developing areas of concern that are addressed in a timely manner.

MANAGING REPUTATIONAL RISK

Training employees on workplace professionalism, behaviour and educate them on business ethics.

Swift and efficient process of resolving customer complaints.

Close monitoring of any events that would lead to reputational risk by adopting early warning systems including media reports, social media content, inputs from front line staff and market surveys results.

Sustainability Committee to play a key role in conceptualising and monitoring sustainability initiatives

CAPITAL MANAGEMENT

For a financial institution capital is a buffer against insolvency, that is available to absorb unforeseen losses. LBF adopts a proactive approach to ensure a satisfactory risk capital level throughout its operations. The company's regulatory capital adequacy has been computed using standardised approach for credit risk and basic indicator approach for operational risk in line with the regulatory guidelines.

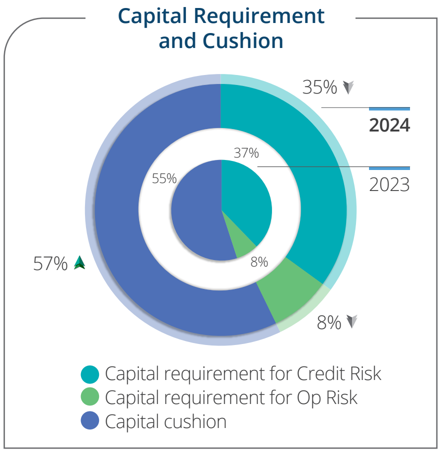
As at 31st March 2024 LBF maintain a sound risk capital position as presented in the table below.

Item	FY 2023/24 Rs.000	FY 2022/23 Rs.000
Tier 1 Capital	42,319,559	36,514,610
Total Capital	43,321,826	37,261,024
Total Risk Weighted Amount	134,578,311	119,700,901
Risk Weighted Amount for Credit Risk	108,812,884	97,344,063
Risk Weighted Amount for Operational Risk	25,765,428	22,356,838
Regulatory Minimum Tier I Ratio	10.00%	10.00%
Company's Tier 1 Capital Ratio	31.45%	30.50%
Regulatory Minimum Total Capital Ratio	14.00%	14.00%
Company's Total Capital Ratio	32.19%	31.13%

Computation of Total Capital

	FY 2023/24 Rs.000	FY 2022/23 Rs.000
Tier I capital	43,671,619	37,054,375
Stated capital	838,282	838,282
Non-cumulative, Non-redeemable Preference Shares	-	-
Reserve fund	9,017,981	8,539,798
Audited retained earnings/(losses)	33,815,357	27,676,295
(less) Revaluation gains/surplus of investment property	-	-
General and other disclosed reserves	-	-
Current year's profit/(losses)	-	-
Adjustments to Tier I capital	1,352,060	539,766
Goodwill (net)	-	-
Other intangible assets (net)	20,701	22,629
Other Comprehensive Income losses	45,551	46,750
Deferred tax assets (net)	927,914	-
Shortfall of the cumulative impairment to total provisions and interest in suspense	-	-
50% of investment in banking and financial subsidiary companies	349,468	460,999
50% of investment in other banking and financial institutions	8,426	9,388
Shortfall of capital in financial subsidiaries	-	-
SLFRS 9 day one Impact Adjustment	-	-
Tier I Capital (after adjustments)	42,319,559	36,514,610
Tier 2 Capital	1,360,161	1,216,801
Instruments qualified as Tier 2 capital	-	-
Revaluation gains	-	-
General provisions /collective impairment allowances	1,360,161	1,216,801
Eligible Tier 2 Capital	1,360,161	1,216,801
Total Adjustments to eligible Tier 2 Capital	357,894	470,387
50% of investment in banking and financial subsidiary companies	349,468	460,999
50% of investment in other banking and financial institutions	8,426	9,388
Eligible Tier 2 Capital after adjustments	1,002,267	746,414
Total Capital	43,321,826	37,261,024

The graph below shows LBF capital allocation and available capital buffer as at 31st March 2024 based on the quantified risk as per the applicable regulatory guidelines.



As a systemically important NBFI, LBF enhanced its capital management approach in 2023 by voluntarily adopting the ICAAP recommended under Pillar 2 of the BASEL III framework. A formal Board approved ICAAP Policy was implemented to guide the application of the ICAAP. The Policy requires that integration of the ICAAP integrated into LBF's enterprise-wide risk management framework and processes to assess the effect on the Company's capital adequacy ratios due to changes in risk profiles of all major risk categories. Stress testing and scenario-based analysis under the ICAAP are used to assesses the capital required under stressed conditions, ensuring the alignment of the Company's strategic plan and risk management plans with the capital plan.

Inputs from Senior Management, Management Committees, Board Sub-Committees and the Board are an integral part of this iterative process.

The ICAAP working Group conducts a quarterly ICAAP assessment and report findings to the BIRMC and the Board for appropriate corrective action such as raising additional capital and/ or reduction in exposures etc. During the year, the ICAAP assessment was submitted to the CBSL for its review and comments, although there is no mandatory requirement.

STRESS TESTING

Stress testing is an integral part of LBF's Risk management process. It asses whether the company has sufficient capital and liquidity to withstand negative economic shocks. A comprehensive stress testing policy is in place that describes the purpose of stress testing, governance structure, methodology for formulating stress test frequencies and assumptions.

Stress testing has provided a dynamic platform to asses "What if" scenarios and to provide the company with an assessment of areas to improve.

During the year under review, stress scenarios were updated to be more relevant in the current economic landscape. Stress testing frequencies were increased and results were reported to the BIRMC.

Credit and Credit Concentration Risk	Interest Rate Risk	Liquidity Risk	Commodity Price Risk	Operational Risk
Impact on Capital Adequacy Ratio due to , • Elevated NPLs • Stress in top 5 industries • Largest borrower default • Expected Credit Loss stage migration • Increase concentration in terms of name, sector, geography	Impact on NII due to fluctuations in market interest rate	Impact on Liquid Asset Ratio due to • Sudden deposit runoffs • Top FD redemptions Impact on forecasted net cashflow	Impact on earnings due to increase defaults as a result of decline in commodity (Gold) Price.	Impact on CAR due to increase operational losses

Given the strong risk capital position of LBF, the capital adequacy ratio stands above the regulatory minimum requirement at all stress levels during the year under review.